Markets reacted with relief after France avoided a rating downgrade, but the story remains unchanged. With plenty of political risks ahead, we remain wary of wider spreads




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French bond spreads extended Friday's relief rally. The 10y OAT/Bund spread narrowed by more than 10bp to below 155bp. Not long ago, it was trading at its widest level since 2011. The trigger was Moody's refraining from downgrading France, which still holds its double-A rating. It still comes with a negative outlook, though. And eventually, France still needs to make a "significant and sustained fiscal effort" to avoid a downgrade.

Fragmented politics and public unrest over the past weeks highlight the challenge. We do not believe that we have seen the end of the French market turmoil with uncertainty ahead of the elections next

April. A tail risk remains that public discontent is channelled into more support in the presidential election for far-left firebrand candidate Melénchon.

For the ECB meeting this week, the latest retightening is still welcome news as it removes some pressure for an interest rate hike. Officials will almost surely be asked how they would treat the issue if it were to escalate. This gives them more room for constructive ambiguity, and would support our view that markets are unlikely to find a reason for turning bullish at the meeting. Elevated energy prices and resilient data outside of France argue for continued hawkish pressure on front-end rates.

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